So you want to make an impact investment?

What is impact investing?

According to the Global Impact Investing Network (GIIN), impact investments are **investments made with the intention to generate positive, measurable social or environmental impact alongside a financial return**. These investments often tolerate higher risk and below market rate returns, though this varies based on investors' strategic goals and the investment vehicle used. Impact investments meaningfully contribute to solutions to the most pressing problems in sectors such as energy, agriculture, healthcare, housing, infrastructure, and many others.

The good news is that impact investing is a rapidly growing field that is no longer reserved only for foundations and funds. However, there are very prominent barriers to entry for individuals who want to invest in impactful ways as most opportunities are geared toward institutional investors, family offices, philanthropic organizations, or very high-net-worth individuals. This guide attempts to point you in the right direction for understanding where you can make impact with the money that you as an individual have to invest.

What are the barriers to entry?

There are a variety of barriers to entry for an individual to make an impact investment, but a dominant barrier is regulatory accreditation, which can dictate an individual's eligibility to invest. The overwhelming majority of impact investments are geared towards high-net-worth individuals or accredited investors. Individuals can qualify as an accredited investor if they meet any of a series of criteria including studying for and passing a complex exam, having a net worth over $1M excluding primary residence, or having an annual income over $200,000 as an individual for at least two years. Connected to this regulatory barrier is the psychological barrier of individuals not seeing themselves as a high-net-worth individual and assuming impact investing is not meant for them.

Another notable barrier is the high transaction cost for companies to manage hundreds of small investments, which often makes the minimum level of investment quite high for an individual. The rise of financial technology platforms are slowly reducing this burden, but at present it still presents challenges. For individuals who do have significant capital to invest, there can be a high financial burden associated with moving already invested capital into a new impact investment. For example, there could be a significant financial cost in terms of capital gains taxes. It is our recommendation that individuals work with an impact advisor to address this specific situation.

The liquidity needs of an individual investor can also be a barrier; impact investments can require money to be tied up for years or longer periods of time, which might not be feasible for some individual investors. Making an impact investment requires a substantial time commitment for due diligence and finding the right opportunity for an individual's financial situation. It can also be challenging to find a clear definition of impact that resonates personally when evaluating potential opportunities. Impact investments have a wide ranging criteria and views differ when evaluating what is impact investing or systemic investing. This requires the individual investor to do a lot of research to find an impactful investment that is right for them.

Participation Avenues

In an attempt to address the high barriers to entry and make impact investing accessible to all individuals who are interested, this guide details different participation avenues or areas to explore to make your first impact investment. It is worth noting that the list of avenues is not exhaustive, and some categories may overlap, just as some investments may fit into multiple categories. We believe it is more important for an individual to understand what they want to get out of an impact investment and dive deeper into that avenue, rather than to understand every participation avenue in depth.

After following the roadmap, you may be curious about a few specific participation avenues. The rest of this guide is dedicated to providing detail about each of these avenues, providing examples, and listing resources so you can dive in deeper yourself.

Public Market Investments

This is probably the type of investment you are most familiar with, as it includes options like stocks, retirement accounts and pension funds, and electronically traded funds (ETF). It has the lowest barrier to entry of all impact investments because there is not usually a minimum investment amount, and it remains liquid if it is an ETF or stock. The impact associated with public market investments is more indirect, highly debated, and rarely systemic. Depending on the portfolio, an investment might still be supporting big technology companies, major financial institutions and banks, etc. as well as being considered impactful or sustainable. On the other hand, if a portfolio is concentrated deeply in one sector, the investment is riskier and can be volatile. Lastly, in public markets you are usually buying shares from another investor, not directly funding new projects, which some argue is an important piece of impact investments.

401(K) or Pension Fund: Even if the only mechanism available to you is your employer-based investments, like a 401(K) or Pension Fund, you can still work to make your investments value-aligned. There are resources for selecting investments to include within your 401(K) and you can work to have your voice heard in how your pension is invested.

- Pensions for Purpose - based in the UK, has resources for how to think about your retirement investments
- Invest Your Values - can help you focus on avoiding the most damaging companies
- The Next Egg - has resources for rethinking retirement savings and a membership program; part of LIFT economy; focus less around "saving" and more around societal redistribution
- Just Futures - provides options for self-employed individuals to establish an impacted focused 401(K)

Stocks/ETFs: Stocks and ETFs are an excellent option for individual investors who have a smaller dollar amount to invest and need their investments to remain very liquid. There are a wide range of options in this category, including broad environmental, social and governance (ESG)/socially responsible investing (SRI) funds that apply negative screens to exclude particularly harmful industries like fossil fuels and weapons. Another option is thematic funds that target specific sectors such as regenerative agriculture, clean energy, or global health and development. Lastly, there are more sophisticated options like direct index customization, which allows you to build an impact investment portfolio stock-by-stock. This last options requires considerable research and due diligence, and it is worth noting that the impact claims made by different companies are varied and often difficult to evaluate.

- Sphere 500 Climate Fund - example of an alternative to a traditional index fund; the top 500 stocks minus those screened out for climate-related issues
- As You Sow - leader on shareholder advocacy, particularly in environmental and social issues; produces scorecards to determine the level of action or inaction of individual companies on their stated impact goals
- Ethic - a platform for building personalized investment portfolios, but this is typically accessed through a financial advisor (ask an impact advisor about this)

Impact Investment Advisors

For those that have a significant amount of capital to invest, working with an impact investment advisor provides a way to circumvent the challenges of not being an accredited investor as an individual. It is also beneficial for those who might qualify to be an accredited investor based on their net worth or salary, but feel that they still need more guidance to make impact investments. Impact investment advisors require a fee, and it can be challenging to find an advisor that is taking new clients at your individual financial level. There are a variety of impact investment advisors that specialize in specific sectors, levels of wealth, or specific investment vehicles.

Examples & Resources:

- Saltbox Financial - fee-only financial advisors and planners; based in MA
- Adesina Social Capital - impact investing firm focused on social justice returns
- Chicory Wealth - fee-only, fully virtual, financial life planning advising focused on socially conscious investing; uses inclusionary and exclusionary factors and ESG risk factors
- New Day Impact - impact-only asset managers and investment advisors focused on conservation and development; only offers advisory services to retail investors, family offices, and institutional investors
- Orban Capital Advisors - financial planners and advisors with theory of change to invest collective resources to advance a just transition; services include transformative investment portfolio consulting, wealth redistribution and tax justice planning, divestment/reinvestment strategy development and implementation
- CapShift - investment advisors using an impact investing platform; advise on all levels including individuals and families; provide a diversity of options including private equity/debt funds, private direct deals, public equity and debt, and recoverable grants
- Just Futures - social justice aligned investment advisors; only option for individuals is a 401(k) for self-employed individuals
- Rad Financial Planners - network of individuals who are involved in impact advising

Impact-Focused Real Estate Investment Vehicles

A real estate investment trust (REIT) is an investment fund or security that allows individual investors to earn returns from real estate portfolios without directly buying or managing property. Impact-focused REITs offer a tangible community footprint alongside market-rate returns and liquidity. They often allow space for accredited and non-accredited investors to participate. Many impact-focused REITs are blended with cooperative structures, community land trusts, and perpetual purpose trusts on both the local and national level; this removes real estate from the speculative market permanently instead of just screening for ESG criteria. Investment opportunities include affordable housing developments, green building mandates, and below market rentals for small businesses. Returns are often intentionally non-extractive, meaning that they are not maximized at the expense of the benefits to the community; instead they are managed at reasonable and sustainable levels. Liquidity varies widely across these vehicles, as some investments require multi-year commitments.

Examples and Resources:

- Iroquois Valley Farmland REIT - a farmland REIT that provides long-term land access to organic farmers; farmers capture the upside of the growing market demand for organic products and investors benefit from long-term land appreciation
- Kensington Corridor Trust - Neighborhood Trust model where property and resources are held collectively, and the neighborhood itself governs how those assets are used
- Kachuwa Impact Fund - an investment cooperative and open-ended, evergreen fund; similar to a REIT combined with a mutual fund whose diversified holdings have a positive impact on society and the environment; primarily owning and operating private “impact real estate” (60%) and secondarily investing in privately held “impact companies” (40%); positive impact with “reasonable, non-extractive returns” for its members; must be accredited to invest

Crowdfunded Private Markets

Crowdfunding platforms can offer an accessible option for individuals looking to make smaller impact investments. These platforms are often focused on supporting small businesses or local investments. While minimums vary, this option allows the individual to more easily pick a targeted sector or project of impact when making an investment. One important caveat is the level of risk associated with crowdfunded investments - due diligence and/or tolerance for risk are important considerations for crowdfunded private markets.

Examples & Resources:

- Honeycomb Credit - community capital platform where anyone can invest in a vetted small business (up to $2,200 per year or more based on income/net worth); largely debt financing for growth or one-time capital costs; interest payments directly into Honeycomb Wallet; all of most investments can be lost
- Kiva - connects people globally through crowdfunded loans; minimum loan of $25; when your loan is repaid you can reloan it to another project
- Wefunder - startup investing in founders across all 50 US states; riskier investments and longer-term holdings; minimum investment of $100; some startups have positive missions that could fit an impact investment thesis
- StartEngine - startup investing for non-accredited and accredited investors; some startups have positive missions that could fit an impact investment thesis
- Green Liberty Notes - one-year, crowdfunded green bond provided by Connecticut Green Bank via Honeycomb Credit platform; designed as a competitive alternative to CDs and savings accounts; all proceeds fund energy efficiency projects that cut costs for small businesses and reduce carbon emissions

Community Development Finance Institutions (CDFIs)

Community development finance institutions (CDFIs) are one of the most accessible entry points into impact investing, especially for non-accredited investors, and it is likely that one or two CDFIs already exist in your community. CDFIs are specialized financial institutions with a mission to provide fair, responsible financing to communities that have been underserved by mainstream finance, which often includes rural, urban, and native communities. CDFIs are certified by the U.S. Treasury, making them a more secure avenue of investment.

There are four typical CDFI structures: community development banks, credit unions, loan funds, and venture capital funds. Although they share a common vision of expanding economic opportunity for all, each has a different business model and legal structure. Depending on the structure, you can invest by opening a savings account, purchasing a certificate of deposit, or buying a community investment note, all of which channel your capital into affordable housing, small business lending, and economic development in low-income communities.

Community development bank: operates like a traditional bank by offering checking, savings, and lending products but has an explicit mission to reinvest deposits into low-income and underserved communities; investment is FDIC-insured

- Southern Bancorp - one of the US' oldest and largest community development banks serving Arkansas and Mississippi
- Carver Federal Savings Bank - founded to serve African American communities whose residents, businesses, and institutions had limited access to mainstream financial services; headquartered in Harlem, NY
- Citizens Community Bank - serves customers in Eastern Idaho; in 2005, became a division of Glacier Bank, a regional bank holding company headquartered in Kalispell, Montana (each bank operates with their own management teams in the communities they know well, supported by the full resources of a larger banking organization)

Credit union: member-owned, not-for-profit financial cooperative where deposits are pooled and lent back out to members and the local community at fair rates; profits are reinvested into better rates and services rather than extracted for shareholders

- Self-Help Credit Union - serve Florida, Georgia, North Carolina, California, Virginia and the greater Chicago area; family of two credit unions (a nonprofit loan fund and an advocacy group; also a designated CDFI, meaning members enjoy all the benefits of belonging to a credit union while also supporting a larger mission to expand opportunities for underserved communities
- Inclusiv - network of credit unions with a primary mission of promoting community development and financial inclusion; certified CDFI exclusively dedicated to investing in the community development credit union movement

Loan fund: non-depository lender that raises capital from investors and philanthropic sources to make loans to those who cannot access traditional finance; investment is not FDIC-insured like in banks

- Reinvestment Fund - use data to understand markets, communities, and impediments to opportunity and how investment and policy decisions can have the most powerful impact (check out their PolicyMap)
- Local Initiatives Support Corporation - helps bridge the gap between governments, foundations, and for-profit companies with capital and local needs by offering the relationships and expertise to assist community organizations in attracting the kinds of resources that allow them do their best work

Venture capital fund: provides equity and near-equity financing to small businesses and entrepreneurs who cannot traditionally access capital; highest-risk and highest-engagement level amongst CDFI types

- Boston Impact Initiative - focused on entrepreneurs and impact fund managers advancing economic justice and community development
- Arctaris Impact Investors - Boston-based impact investment firm with experience in both debt and Opportunity Zone equity investments
- Community Reinvestment Fund - works to complement and amplify the scale and effectiveness of the small business ecosystem with lending, technology and service solutions

Additional Examples:

- Opportunity Finance Network - based in Washington, DC; national network of nearly 500 CDFIs nationwide
- Seed Commons - financial cooperative capable of aggregating capital at a national scale but deploying it locally through member organizations on the ground; individuals can invest with a minimum of $50,000 for a minimum of 2 years
- Coastal Enterprises Inc. - Maine-based; works to build a more equitable economy by growing good jobs, livelihoods and small business ownership, while advancing a just transition to a climate-resilient future

Additional Community Finance Avenues

Community finance is a broad and rapidly evolving category that offers an impactful way to invest locally and support a local business or group of people. Investing in a community finance avenue puts your capital directly to work in support of local businesses, neighbors, and community-rooted organizations, as investments are often place-based and people-centered. In addition to the CDFI structures outlined above, there are a variety of community finance options that can be utilized to make an impact investment. These avenues vary widely in structure, return expectations, and accessibility, but are oriented toward building local wealth, expanding economic opportunity, and helping communities that have had trouble accessing traditional finance.

Charitable loan fund: provides mission-aligned, affordable financing to nonprofits, social enterprises, and individuals, operating on a revolving model where repaid capital is recycled to support new beneficiaries; often a part of a CDFI or CIF; investors typically accept below-market returns in exchange for the social mission

- Leviticus Fund - a faith-focused loan fund offering low-yield investment vehicles for investors starting at $1000 with a one-year term channels capital into affordable housing and community development, with a focus on communities harmed by systematic racial and ethnic discrimination
- RSF Social Finance - connects donors and investors with nonprofits and social enterprises working in food and agriculture, education, climate and energy, and community impact; offers community notes with collaboratively set interest rates

Community investment fund: pools capital from local investors, such as community members, institutions, and mission-aligned donors, to finance businesses, projects, and organizations rooted in a specific place; varied in structure

- Community Investment Fund (NC3) - how to build a community investment fund via a starter workbooks, a handbook of examples, and a toolkit for starting a fund
- Community Investment Funds Webinar - a webinar recording from the Next Egg, discussing a how-to guide for building local wealth, equity, and justice through community investment funds
- Directory of Practitioners - searchable directory of community investment fund practitioners across the country

Diversified community investment fund: an emerging legal structure designed to close a gap in community finance (standard community finance does not allow for a community investment fund to invest in local businesses while also raising equity capital from the community and sharing profits with those community investors); DCIFs work around gaps by anchoring in real estate, which qualifies for a legal exemption allowing them to raise capital from non-accredited investors and allocating a portion into local businesses

- Local Return - based in Rhode Island; invests primarily in real estate while also allocating a portion of its portfolio into local businesses; because real estate is its core focus it can raise capital from any community member (not just accredited investors) with entry points of a few hundred dollars; one of the most accessible vehicles for true neighborhood-level investing

Community note: a debt instrument or loan issued directly by a business, nonprofit, or community organization to investors in exchange for a fixed return over a defined term; one of the most direct ways to finance a specific organization or project; can often be accessed by non-accredited investors, depending on structure

- Shared Capital Cooperative - a national cooperative loan fund that issues community notes starting at $500 for 3 years to finance worker-owned and community-owned businesses across the country
- Craft3 - a CDFI based in the Pacific Northwest; issues community notes to fund small businesses, nonprofits, and community facilities

Municipal bond: debt instrument issued by a state, city, or local government agency to finance public projects; investors lend money to the issuing government in exchange for regular interest payments and the return of the initial investment at the end of the fixed term; generally lower risk, accessible to non-accredited investors, and traded on public markets
**not all municipal bonds are impact investments, but there are a subset that are explicitly structured around impactful outcomes*

- Green bonds - finance environmentally focused projects like renewable energy infrastructure, clean water systems, and climate resilience
- Social bonds - target outcomes such as affordable housing construction, school improvements, or public health facilities
- Pay-for-success or social impact bonds - tie investor returns directly to measurable outcomes; for example, reductions in recidivism or improvements in childhood education

Collective Investing

Collective investing lowers the barriers to entry for individual investors by bringing together a group to pool capital, share research, and make decisions collaboratively. Investing clubs in particular can help build financial literacy and accountability by creating a community of investors with shared values and commitments.

Investment club or community: an informal or formal organized group of individuals who pool money to invest together or share resources; often meet regularly to discuss opportunities, debate decisions, and vote on where to deploy capital; not regulated as an investment fund as long as they stay within size and structure limits

- Angels of Main Street - investment community (not specifically for impact investing) for non-accredited level investors; $100 one-time membership fee, minimum of $500 annually invested in small businesses
- Slow Money - supporting local food systems via local chapters; local groups organized in a variety of ways, from 0% microloans to low-interest loans of $100,000 or more

Cooperative: formally organized investment group structured as a legal cooperative or LLC; members hold equity stakes, shares in profits, and have a democratic voice in governance

- Seed Commons - financial cooperative capable of aggregating capital at a national scale but deploying it locally through member organizations on the ground; individuals can invest with a minimum of $50,000 for a minimum of 2 years
- Kensington Corridor Trust - Neighborhood Trust model where property and resources are held collectively, and the neighborhood itself governs how those assets are used
- Industrial Commons - based in Morganton, North Carolina; supports local workers through a member-led network of textile manufactures and workplace development programs; converted businesses to employee ownership, provided training and arts-based programming to thousands of youth, and managed and invested over $95M worth of grants into regional economy; includes a community loan fund
- National Cooperative Bank - offers financing to a variety of cooperatives, including those focused on housing, food, and workers

Emerging Alternatives

This avenue captures impact investment opportunities that do not fit clearly into the avenues listed above. Emerging alternatives include direct impact investment funds, mission-aligned banks, and other innovative structures that are actively being explored and expanded upon. As some of these models are newer, they can carry more risk. However, they also offer an opportunity for an individual to support innovative approaches early. Most of these opportunities are geared towards accredited investors or high-net-worth individuals.

Direct impact investment options: capital goes directly to specific businesses, projects, or communities rather than being filtered through a public market or intermediary; can require higher minimums, carry higher risk, and are usually geared toward accredited investors and high-net-worth individuals; emerging funds are working to broaden access to more types of investors

- TAVO - impact investment fund accepting individual investors with a minimum of $150,00; uses a revenue-based financing model to provide growth capital, special purpose financing, and venture debt to small businesses; focused on climate, local small businesses, and underrepresented business owners
- Kachuwa Impact Fund - an investment cooperative and open-ended, evergreen fund; similar to a REIT combined with a mutual fund whose diversified holdings have a positive impact on society and the environment; primarily owning and operating private “impact real estate” (60%) and secondarily investing in privately held “impact companies” (40%); positive impact with “reasonable, non-extractive returns” for its members; must be accredited to invest

Just banks: mission-driven banks that operate like traditional banks by offering checking, savings, and lending products, but with an explicit commitment to financing social and environmental good with deposits; broader category than CDFIs, though some just banks are CDFIs; switching your primary bank account to a just bank is a low-effort, high-leverage move to ensure your money has more impact

- Amalgamated Bank - pushes for fair labor practices, for closing the wealth gap and lending into the clean energy economy; Certified B Corporation
- Beneficial State Bank - equally prioritizes people, the planet, and long-term financial sustainability; $1.9 billion asset state-chartered, federally insured bank with branches in California, Oregon, and Washington; Certified B Corporation
- Bank.Green - resource for how to transition your banking to a greener bank

Additional Learning Resources

Websites:
- How to ESG

Handbooks/documents:
- Community Investment Fund, Resources to Start, Learn & Build
- Transcap Systemic Investing Practice Guide

Videos/Recordings:
- Personal Money Practice Playlist from NEII

Fellowships/Education:
- New England Impact Investing Initiative Fellowship

Books:
- The Impact Investor by Cathy Clark, Jed Emerson, and Ben Thornley
- Social Finance by Alex Nicholls and Rob Paton

Additional Notes

Authors: This guidebook and the accompanying interactive decision tree were drafted by Elisabeth Foster and Martha Bentley as part of the New England Impact Investing Initiative Spring 2026 Fellowship.

Iterative nature: We hope that this guidebook and the accompanying interactive decision tree will be a living resource that continues to guide individuals to impact investments. Impact investing is a constantly evolving field, and we realize that no single resource can map out the entire field or stay fully up to date with its changing nature. This version of the guidebook was last edited June 3, 2026 as part of the authors' peer project in the New England Impact Investing Initiative Fellowship. This guidebook was largely created with the United States in mind, but we hope it will grow to encompass opportunities in other countries and/or international opportunities.

We welcome comments, criticisms, additions, and questions, and we hope to incorporate these as our time allows. Please visit this link to access a living version of the guidebook and share your feedback. We are grateful to those that have contributed to its development thus far by sharing resources, feedback, and guidance.

AI use: The accompanying interactive decision tree and participation avenue snapshot graphic in this guidebook were developed with the assistance of Claude (Anthropic, 2026). All content was reviewed and edited by the document's authors. The information used in the interactive decision tree was from the author's research.